

Companies with high dividend yield have lower capital appreciation. As a result, as dividend yield increases, call options become less valuable and put options become more valuable.



Similarly, with lower dividend yield, the capital appreciation is higher. As Dividend Yield decreases, the value of call option increases and value of put option decreases.



As of now these factors may seem confusing, but as you spend time with options, you will get more and more comfortable with the same. Understanding of these factors is important to understand how prices of different option contracts move and how all of them come together in different trading strategies that we will form. With this we conclude our discussion of factors that affect Black-Scholes option pricing model. We do not really need to understand the calculation but we do need to understand these factors that affect the calculation.